

gratification.” Most people interpret this switch as bullish, a market stabilizer. It is precisely the opposite, as no market top-heavy with public involvement fails in the end to punish the average investor for his gullibility. The public has, in its own eyes courageously (where was that courage in 1974?), stepped up to the plate during recent corrections and bought more stock. So far, it has worked. As depicted in the advertisement below from October 1993 (yes, it is a real one), higher market or lower, the majority are buyers. Well, now they are *in*. Let’s see what happens.

How To Turn Market Volatility Into Investment Opportunity.



Properly applied, the phrase “focus on the long term” is in no way synonymous with “close your eyes and buy.” It means what it says: adopt a long term orientation. To do it properly, you must have a method of anticipating long term trends. As my readers know, I am a passionate advocate of a long term orientation. Focusing on the long term is exactly what should have persuaded you to become fully invested in the early 1980s. *Focusing on the long term is exactly what should persuade you to get completely out of the market today.* It should further persuade you to *remain* out of stocks for several years regardless of intermediate term rallies, arguments that stocks are undervalued, forecasts of imminent boom or recovery, and above all, exhortations for you to “focus on the long term and buy, buy, buy.”

Academic Optimism

When academia catches up with a social trend, it is over. Chapter 8 discusses one example, the mid-1980s conclusion that secondary stocks always outperform blue chips. In the past three years, professors have released several studies concluding that with respect to stocks in the United States, market timing has been inferior to “buying and holding.” In essence, these studies tell investors what